Bitcoin is perhaps one of the most exciting innovations of the modern digital age. But before we dive deep in to the notorious world of this digital crypto-currency let us sort through the necessary fundamentals of the world it is prophesied to change - currency.

Money vs. Currency

Is there really a difference between money and currency? Well yes - a significant difference. Money is the general term used for any commonly accepted "medium of exchange". Money can exist in any form - most commonly an object or maintained record of transaction which is acceptable by the significant majority of people as payment for goods and services. Currency on the other hand is the name for the commonly accepted form of money that is in circulation. In most cases currency is represented as banknotes and coins but its definition can also encompass anything that is commonly held to represent value and is accepted on those terms.

In everyday speak money and currency are interchangeable terms however in precise usage it's important to note the difference, e.g. Barney Stinson has a lot of money but if he buys a suit in Italy he better make sure he has the right currency (Euro).

Money is therefore the broader term used to talk about wealth, value and the ability to acquire goods and services. Having a lot of money is good, but having a lot of any currency depends on what the currency is - for instance its better to have one United States dollar as currency than ten thousand Indonesian Rupiah as currency.

Historically, money has found many forms in societies and economies, from a simple honour bound promise between ancient farmers ("I owe you") to the hard cold cash of today. Interestingly, the evolution of the "I owe you" essentially gave birth to "I owe you one unit of..." - that blank space was filled with many different things over time including - grains, cattle and shells - all of which were valid money currencies of their time. However as societies grew and began trading with other societies the need for a universal "store of value" gave birth to minted money that was based on precious metals i.e. gold and silver.

Within the modern context currencies have continued to evolve (as with the creation of the Euro) but money has, for the longest time, held certain fixed features; to be a medium of exchange, a unit of account and a store of value. However, in the post-modern digital age, currencies such as Bitcoin are even testing these features.